

EXHIBIT 1 [REDACTED]

[REDACTED]

UNITED STATES INTERNATIONAL TRADE COMMISSION
WASHINGTON, D.C.

In the Matter of

CERTAIN TRANSFORMERS AND
COMPONENTS THEREOF

Investigation No. 337-TA-_____

DECLARATION OF ANIRUDH REDDY EDLA

I. INTRODUCTION

1. I am the Chief Executive Officer and co-founder of Ayr Energy, Inc. (“Ayr”). I submit this declaration in support of Ayr’s Complaint under Section 337 of the Tariff Act of 1930 concerning certain transformer products and components thereof.
2. I co-founded Ayr in 2024 with Yashashvi Takallapalli and Rahul Arora. The company’s name derives from the first initials of each co-founder’s given name—Anirudh, Yashashvi, and Rahul.
3. Ayr was established as an original equipment manufacturer (“OEM”) for critical power equipment, including high-capacity power transformers, distribution (medium-voltage) transformers, special-purpose transformers, high-voltage circuit breakers, and medium-voltage switchgear.
4. I have personal knowledge of the facts set forth in this declaration, except where stated on information and belief. Where I testify based on Ayr’s business records, internal systems, financial records, project records, customer records, proposal materials, or other documents maintained by Ayr, I am familiar with those records and with how Ayr creates, maintains, and uses them in the ordinary course of business.
5. This declaration addresses Ayr’s custom transformer business, Ayr’s proprietary business model, Ayr’s U.S.-based operations and investments, Ayr’s production, sales, backlog, revenue, and pricing information, and the threat of injury to Ayr’s domestic industry.

II. CUSTOM MAIN POWER TRANSFORMERS AND AYR’S BUSINESS

6. Custom main power transformers, or custom MPTs, are among the largest, most complex, and most capital-intensive pieces of electrical equipment deployed in the U.S. power grid.
7. A single custom MPT can weigh several hundred tons and stand over fifteen feet tall.

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8. A custom MPT may require specialized heavy-haul transport—including multi-axle trailers, route surveys, and oversize-load permitting—to move from a port of entry to a project site.
 9. Each custom MPT is individually engineered to project-specific electrical, mechanical, thermal, and environmental requirements. No two custom MPTs are identical.
 10. Manufacturing a custom MPT is a multi-disciplinary undertaking requiring the coordinated design and fabrication of electromagnetic cores, copper or aluminum windings, insulation systems, cooling systems, tanks, bushings, tap changers, and control and protection systems.
 11. Those components must be integrated to meet exacting performance, efficiency, and regulatory standards.
 12. Manufacturing lead times for custom MPTs typically range from approximately 40 to 60 weeks or more from order to shipment.
 13. A single custom MPT unit can cost five to ten million dollars.
 14. The technical barriers to entry in the custom MPT segment are high.
 15. A supplier in the custom MPT segment must possess not only manufacturing capability, but also engineering methodologies, specification-development processes, supplier-qualification frameworks, and pricing models necessary to translate a customer's project requirements into a deliverable, bankable transformer solution.

III. AYR'S DOMESTIC INDUSTRY PRODUCTS AND PROPRIETARY BUSINESS MODEL

16. Ayr's primary product offering is its custom-engineered transformer systems sold, delivered, installed, and commissioned for U.S. customers. Ayr's products also include distribution (medium-voltage) transformers, special-purpose transformers, high-voltage circuit breakers, and medium-voltage switchgear. I have been informed by counsel that these products are referred to as the "domestic industry products" or "DI Products" for purposes of this declaration.
17. The DI Products are designed and configured using, among other things, Ayr's trade secrets.
18. The DI Products are marketed and sold under the AYR ENERGY mark.
19. Ayr's competitive position does not rest on a single formula or isolated technical component. It rests on an integrated business model implemented through U.S.-based operations.
20. Ayr's integrated business model combines proprietary engineering judgment and design methodologies, including the ability to design custom units with project-specific flexibility

[REDACTED]

built in so that the units remain serviceable as customer-side variables evolve during the long lead time between order and energization.

21. Ayr's integrated business model includes internally developed pricing and costing approaches calibrated to U.S. market conditions.
22. Ayr's integrated business model includes supplier and component sourcing knowledge, including direct relationships with leading global suppliers such as [REDACTED], that help secure favorable pricing and priority access.
23. Ayr's integrated business model includes operational processes that enable Ayr to generate competitive, project-specific proposals significantly faster than established competitors.
24. Ayr's engineering team reviews detailed customer Requests for Proposals and designs transformers to meet unique, project-specific specifications. Ayr then contracts with established manufacturing facilities in India to produce equipment based on those proprietary designs. After manufacturing, Ayr coordinates shipment to customer sites within the United States and supervises installation and commissioning.

IV. AYR'S U.S.-BASED OPERATIONS, PERSONNEL, AND FACILITIES

25. Ayr is headquartered in Mountain View, California.
26. Ayr occupies approximately 5,000 square feet of office space in Mountain View, California.
27. Ayr has built a large workforce to support its transformer business, including U.S.-based personnel as well as personnel and contractors in India and other locations who support Ayr's engineering, operations, finance, supply-chain, quality, sales, marketing, and project-execution functions. As reflected in Ayr's personnel records, Ayr currently has approximately [REDACTED] employees and contractors. Of those, approximately [REDACTED] are current employees and approximately [REDACTED] are current contractors.
28. Ayr's current personnel include approximately [REDACTED] employees and [REDACTED] contractors with U.S. work locations, including personnel located at Ayr's Mountain View, California headquarters and personnel working remotely from other U.S. locations.
29. Ayr's annual labor costs attributable to its U.S.-based employees and contractors are approximately [REDACTED].
30. Ayr's Mountain View headquarters includes current personnel in leadership, customer-facing, marketing, and administrative or coordination roles.
31. Ayr's U.S.-based personnel include individuals involved in executive leadership, customer development, sales, marketing, program management, logistics, field-service coordination, legal, supply chain, engineering, and other functions supporting Ayr's U.S. transformer business.

[REDACTED]

32. Ayr's near-term plans include expanding its U.S. workforce [REDACTED] and broadening its U.S. operational footprint.

33. Ayr's near-term plans also include [REDACTED]

34. Ayr's U.S. workforce performs high-value functions at the core of Ayr's business. These include, for example:

- managing customer relationships and originating projects;
- preparing and delivering project-specific proposals;
- coordinating engineering, supply-chain, and logistics inputs;
- designing custom transformers based on Ayr's specifications, configurations, system architecture, and project-specific configurations derived from Ayr's proprietary methodologies.
- overseeing project execution, including installation and commissioning, and performing warranty services.

V. Ayr's U.S. INVESTMENTS

35. Ayr has made, and continues to make, substantial U.S.-based expenditures in connection with the DI Products across multiple categories, including facility costs, personnel compensation, installation and commissioning, logistics, and marketing, as described below.

36. To date, and as set forth further below, Ayr has incurred millions in U.S.-based expenditures associated with the DI Products, including facility, personnel, installation, logistics, and marketing. That amount will grow substantially in the years ahead as Ayr delivers and commissions its over \$800 million in sales of the DI Products.

37. As of July 2026, Ayr has contracted with over [REDACTED], with total project value at approximately \$816 million.

38. Ayr's U.S.-based expenditures are recurring, project-driven, and central to Ayr's ability to implement its proprietary business model, including the Asserted Trade Secrets and the Ayr ENERGY mark, in the United States.

VI. Ayr's PRODUCTION, SALES, BACKLOG, REVENUE, AND PRICING

39. Ayr has produced and delivered [REDACTED]. These projects consist primarily of Ayr's [REDACTED].

- [REDACTED]
40. Because the DI Products are custom-engineered, built-to-order systems, each unit is individually designed and manufactured to project-specific requirements. Ayr does not maintain traditional finished-goods inventory; the functional equivalent of inventory for Ayr's business is its order backlog.
 41. Ayr has completed more than \$800 million in U.S. sales of the DI Products to date. These sales are entirely for products to be delivered in the United States.
 42. Ayr's completed U.S. sales encompass over [REDACTED], of which approximately [REDACTED] have been completed.
 43. Ayr's U.S. sales of the DI Products have grown from approximately [REDACTED] in the first quarter of CY 2025 to approximately [REDACTED] in the quarter ending June 2026, reflecting a consistent upward trend.
 44. Ayr's order backlog consists of units under contract that are in various stages of engineering, manufacture, transit, or installation.
 45. Given the extended manufacturing and delivery lead times for custom transformers, Ayr's order backlog represents a substantial pipeline of future U.S. deliveries and associated domestic installation, commissioning, and field-services activity.
 46. Ayr's total revenue for CY2026 is estimated to be approximately [REDACTED]. Ayr's projected revenues are expected to grow considerably as it delivers on its main power transformer products, with expected revenues of [REDACTED] in CY 2027 and [REDACTED] in CY 2028.
 47. Revenue attributable to the DI Products constitutes the substantial majority of Ayr's overall revenue.
 48. Ayr's gross margin on DI Product sales is forecast for CY2026, 2027, and 2028 to be approximately [REDACTED]. Ayr's gross margin reflects the value added by Ayr's proprietary engineering methodologies, sourcing strategies, and pricing models. It also reflects that the DI Products are high-value, custom-engineered capital equipment.
 49. Representative per-unit pricing for Ayr's custom main power transformers ranges from approximately [REDACTED] per unit, depending on voltage class, MVA rating, and project-specific requirements.
 50. Ayr's MV transformers are priced in the range of approximately [REDACTED] per unit, again depending on the specific voltage class, MVA rating, and project-specific requirements.
 51. Ayr's pricing reflects the application of its proprietary cost models and pricing methodologies, including component-level cost inputs, installation cost calculations, and margin considerations.



VII. THE AYR ENERGY MARK

52. Ayr Energy has invested approximately [REDACTED] in advertising and marketing products and services under the AYR ENERGY mark this year alone.
53. As noted, Ayr Energy has received more than \$810 million in U.S. equipment orders for over [REDACTED] projects under the AYR ENERGY name.
54. Ayr Energy has shipped [REDACTED] bespoke transformer and switchboard units throughout the United States under the AYR ENERGY name.
55. Ayr has used the AYR ENERGY mark continuously in connection with its power equipment products and services throughout the United States, including in California, since its founding in 2024.
56. Ayr has invested substantial resources in building goodwill associated with the AYR ENERGY name. Those efforts include branding on Ayr's ayr.energy website, social media marketing including LinkedIn, community and investor outreach, and online advertising campaigns.
57. Ayr has taken affirmative steps to police its trademark rights. Ayr regularly monitors for potential acts of infringement, including online. Upon discovering that Respondents were using the AYR ENERGY mark in commerce in connection with a paid advertisement on the video platform YouTube that displayed Ayr's name and directed viewers to Respondents' transformer business, Ayr sent a cease-and-desist letter to Respondents demanding that they cease all unauthorized use of the AYR ENERGY mark.

VIII. AYR'S MEASURES TO MAINTAIN SECRECY OF THE ASSERTED TRADE SECRETS

58. Ayr has taken measures to maintain the secrecy of the Asserted Trade Secrets. Ayr maintains its confidential technical, engineering, sourcing, pricing, and commercial information on restricted-access systems. Access to Ayr's internal documents and systems is limited to employees, consultants, and other personnel with a business need to know the information.
59. Ayr also requires employees and consultants with access to Ayr's proprietary information to maintain the confidentiality of that information, including through written confidentiality obligations. Ayr treats its transformer designs, engineering materials, customer proposals, pricing models, supplier information, and related business materials as confidential and proprietary.
60. Ayr's customer proposal materials and RFP responses are submitted to customers on a confidential basis. Ayr does not publicly disclose the formulas, methodologies, design documents, pricing models, supplier-selection information, or integrated proposal-generation processes that comprise the Asserted Trade Secrets.

61. Taken together, these measures limit access to Ayr’s confidential technical and commercial information to individuals with a business need to know, impose written confidentiality obligations on those individuals, and prevent public disclosure of the methodologies, models, and processes that comprise the Asserted Trade Secrets.

IX. YASH JAIN’S EMPLOYMENT AT AYR AND RETURN TO ZETWERK

62. It is my understanding that, prior to joining Ayr, Yashashvi (“Yash”) Jain was employed by Zetwerk from approximately 2019 to 2024. Mr. Jain had no technical engineering background and no prior transformer-industry experience at Zetwerk or otherwise.
63. Mr. Jain approached Ayr on or about January 2, 2025, represented that Zetwerk had terminated him because his role had become obsolete, and joined Ayr on or about February 3, 2025 through Jayadev.
64. Mr. Jain announced his departure from Ayr on or about March 27, 2025 and pressed for a notice period shorter than the applicable 30-day provision. Ayr agreed to ten days, and Mr. Jain’s final day was April 7, 2025.
65. Neither Mr. Jain nor Zetwerk disclosed to Ayr that Mr. Jain had returned to Zetwerk following his departure from Ayr.
66. It is my understanding that, upon his return, Mr. Jain was appointed to the position of “Delivery Head – Transformers” at Zetwerk, a role related to transformers and more technically focused than any he held during his prior tenure there.

X. PRICE PRESSURE AND MARGIN RISK

67. Ayr’s pricing intelligence, including its master cost files, internal raw-material-cost-to-sales-price ratios, and project-specific pricing methodologies, is a hard-won trade secret.
68. Ayr developed that pricing intelligence through iterative customer engagement, supplier negotiation, and market learning.
69. Ayr relies on that pricing intelligence to quote competitive prices on a rapid timeline and to sustain margins necessary to support its U.S. operations.
70. Respondents are positioned to use Ayr’s misappropriated pricing intelligence, including the master cost files Mr. Yash Jain accessed in his final days at Ayr, to underprice Ayr in U.S. bidding processes.
71. This pricing risk is amplified by Zetwerk’s affiliated factories and supply-chain partners, which are positioned to quote U.S. business at price points informed by Ayr’s proprietary pricing intelligence.
72. Ayr has engaged in substantial iterative customer engagement, supplier negotiation, and market learning to develop the pricing intelligence reflected in its master cost files.

[REDACTED]

Respondents, through Mr. Jain's access to those files, are positioned to replicate the output of that investment without undertaking any comparable effort or expenditure.

73. Each U.S. quote that draws on Ayr's pricing intelligence compounds the injury and erodes both the secrecy and the commercial value of Ayr's Asserted Trade Secrets.

XI. THREAT OF FUTURE SUBSTANTIAL INJURY

74. Based on the facts described below—including Respondents' confirmed U.S. sales, their continued solicitation of Ayr's pipeline customers, and their demonstrated access to Ayr's proprietary pricing and engineering information—I believe Respondents' conduct poses a continuing and escalating threat to Ayr's domestic industry.
75. Zetwerk has publicly represented that it has secured custom transformer orders for U.S. customers.
76. I am aware that Zetwerk has closed contracts for custom main power transformers for delivery into the United States, [REDACTED]
77. I am aware that, following Mr. Jain's return to Zetwerk in April 2025, Respondents secured additional custom MPT sales commitments from U.S. customers, [REDACTED]
78. I understand that, following Mr. Jain's return, Respondents continued to solicit, quote, and contract for custom transformer business with other U.S. customers.
79. Based on the overlap between Ayr's active pipeline customers and the U.S. customers Respondents have already solicited or contracted with, and given Respondents' demonstrated access to Ayr's proprietary pricing and engineering methodologies, I believe that, without relief, a substantial and increasing share of Ayr's pipeline opportunities are at risk of being lost to Respondents.
80. Because main power transformers carry lead times that can span almost a year or more between order and delivery, sales Respondents secure today translate into deliveries and imports well into the future, and likewise injury to Ayr in the future.

XII. CONCLUSION

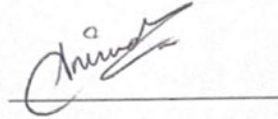
81. Ayr has made significant and continuing investments in U.S.-based personnel, operations, proposal development, customer-facing operations, installation, commissioning, field services, logistics, marketing, and customer development.
82. Those activities are tied to Ayr's domestic industry products, Ayr's proprietary business model, Ayr's Asserted Trade Secrets, and the AYR ENERGY mark.

83. Based on the foregoing, Respondents' conduct has resulted in, and threatens to continue causing: lost sales opportunities, as evidenced by Respondents' confirmed contracts with U.S. customers that overlap with Ayr's active pipeline; downward price pressure, as Respondents are positioned to use Ayr's misappropriated pricing intelligence to underbid Ayr; compression of Ayr's margins as Ayr may be forced to reduce pricing to compete against bids informed by its own proprietary cost data; harm to Ayr's customer relationships, as Respondents have solicited and contracted with customers Ayr has actively engaged; harm to the goodwill associated with the AYR ENERGY mark; and impairment of Ayr's ability to invest in and expand its U.S. operations.

84. I declare under penalty of perjury under the laws of the United States of America that the foregoing is true and correct.

By:

Executed on July 16, 2026

A handwritten signature in dark ink, appearing to read 'Anirudh', is written over a horizontal line.

Anirudh Reddy Edla